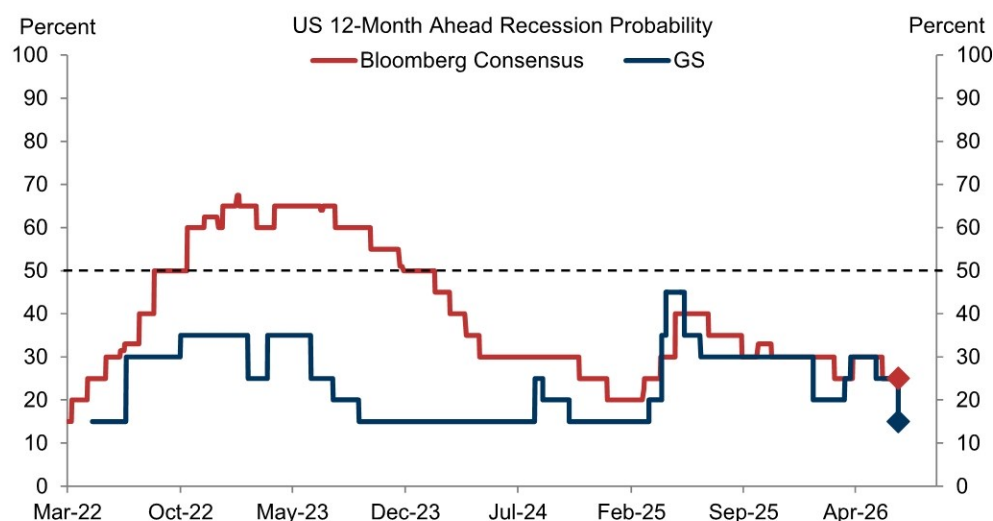


Global Views: More Crude, Less Concern

1. The agreement between the US and Iran has reduced the downside risks to our economic outlook. Our commodities strategists now see Brent crude at \$80 per barrel by the end of 2026, with two-sided risks. On the upside, Iran's announcement on Saturday that the Strait was closed again served as a reminder that oil flows might only recover slowly. On the downside, a near-term glut could develop as oil is released quickly into a market that was already oversupplied before the war. The agreement has led us to cut our 12-month US recession risk estimate further from 25% to the long-term norm of 15%. (This is below our 20% estimate on the eve of the war because the labor market improvement since then indicates greater underlying resilience.)

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Exhibit 1: US Recession Risk Back to the Long-Term Norm of 15%

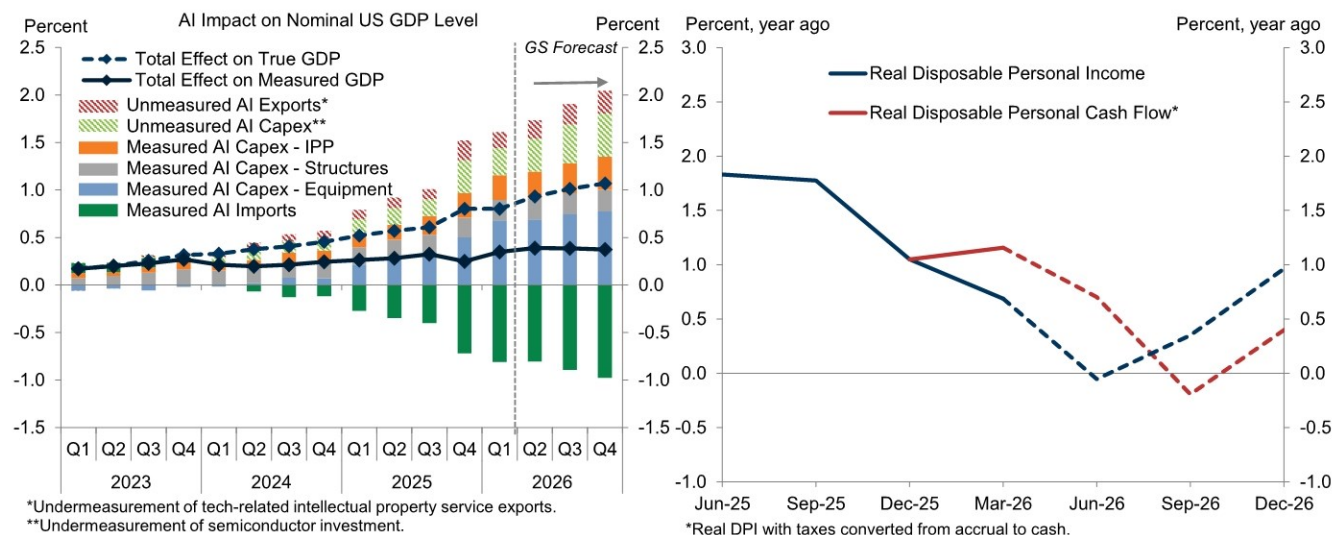


Source: Bloomberg, Goldman Sachs Global Investment Research

2. Alongside the cut to our recession risk estimate, we have nudged up our sequential H2 GDP growth forecast to 2%. The slightly stronger path reflects a positive sequential impulse to real income from lower gas prices, at a time when the economy continues to benefit from the AI boom via higher equity wealth as well as strong capex. But we still expect growth to remain moderate. First, AI capex largely consists of goods that are imported from Asia and, in the case of semiconductors, don't even show up in GDP. Second, even with the drop in gas prices, real income defined on a cash flow basis is likely to slow in H2 as the impact of higher tax refunds and lower final tax payments in Q2 peters out. This is likely to keep real consumer spending growth at just 1½%.

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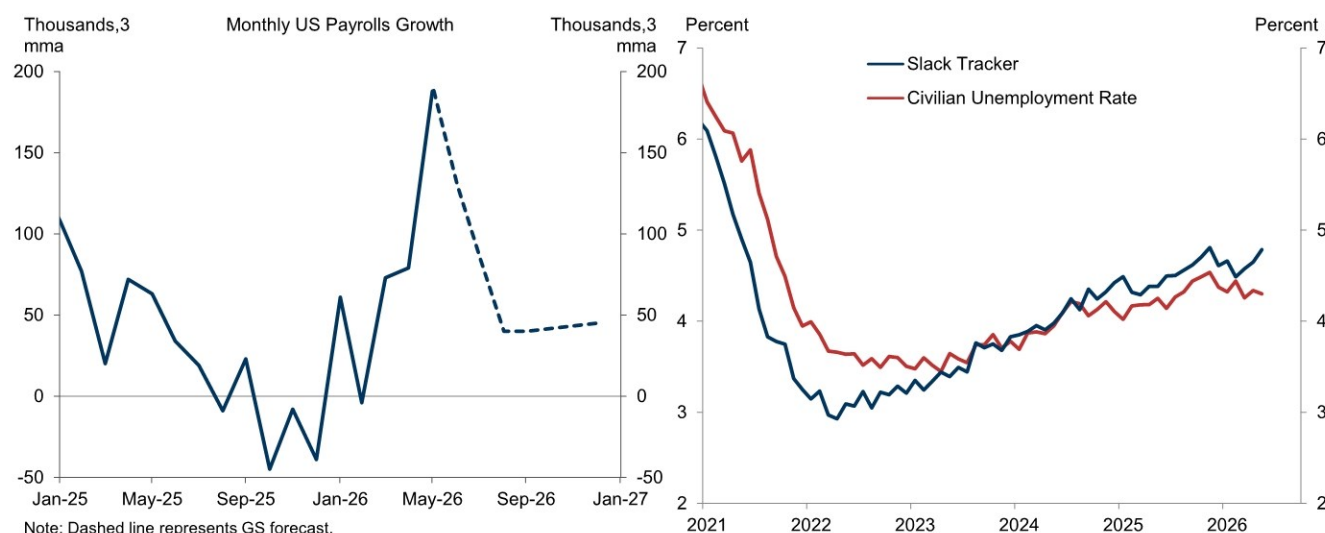
Exhibit 2: AI Investment Surge Adds Little to US GDP and the US Consumer Remains Under Pressure



Source: Bureau of Economic Analysis, Haver Analytics, Goldman Sachs Global Investment Research

3. With GDP still growing modestly below potential, we expect a slowdown in payroll gains from the outsized 188k rate over the past three months to just below our 60k breakeven estimate. Beyond the growth forecast, we would note the failure of other labor market indicators to confirm a sharp recent improvement. Household employment has grown much more slowly than payrolls, the employment/population ratio has trended sideways to lower, and our updated slack tracker—which summarizes ten key indicators of labor market utilization—has recently resumed its gradual loosening of the prior three years. Consistent with this, we expect wage and unit labor cost growth to remain muted despite the earlier increase in headline inflation.

Exhibit 3: The Payroll Surge Is an Outlier Relative to Other Labor Market Indicators

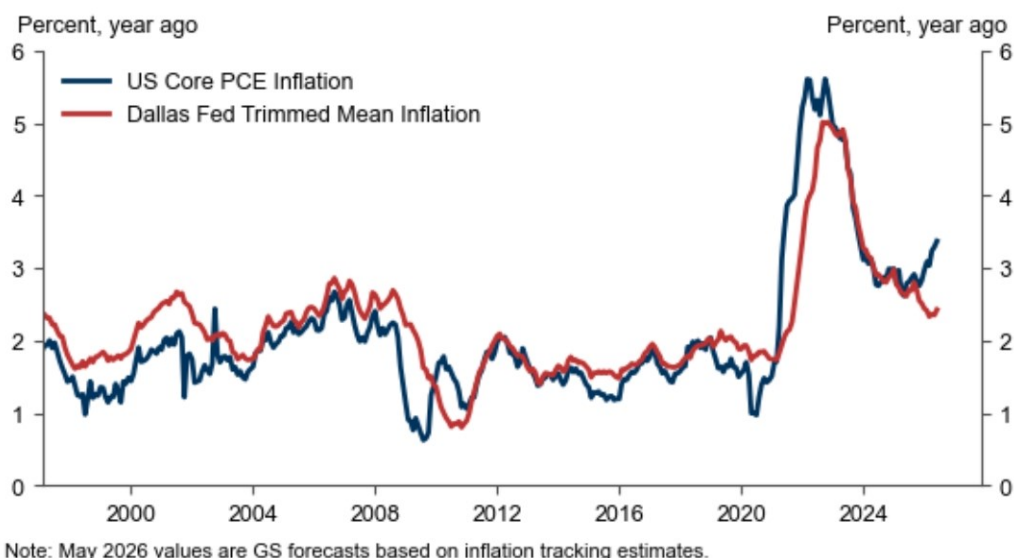


Source: US Bureau of Labor Statistics, Haver Analytics, Goldman Sachs Global Investment Research

4. The plunge in gasoline prices so far in June should result in an outright decline in seasonally adjusted consumer prices. We also expect core CPI inflation to average just 0.17% in the next three months as airfares decline on the back of lower jet fuel prices, hotel rates—which are measured at the time of booking—drop from their World Cup

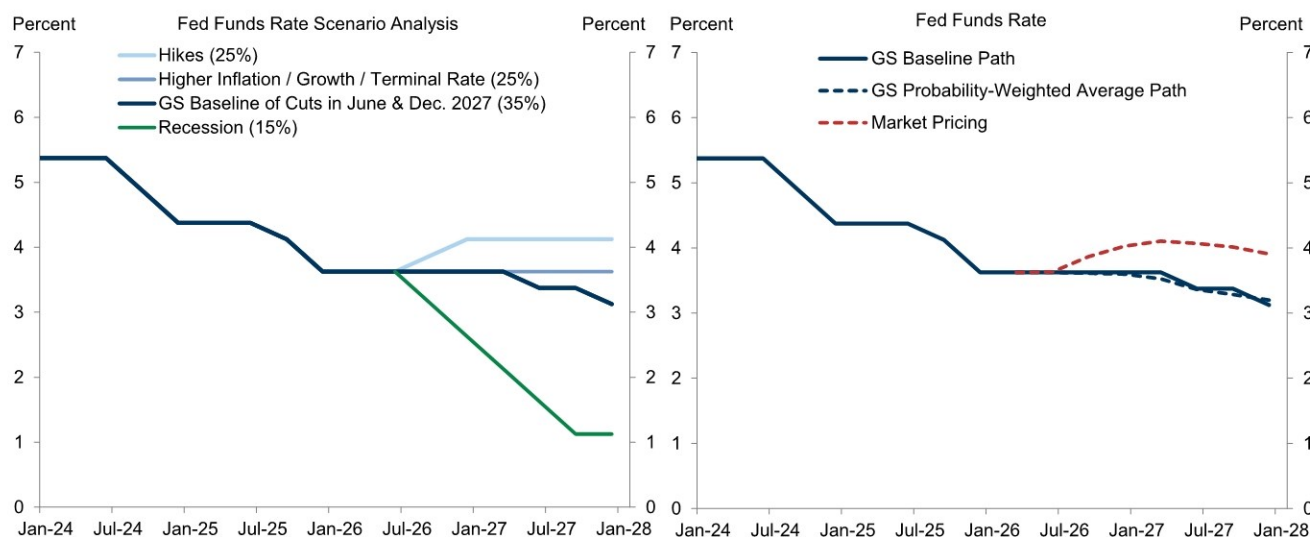
highs, and rent inflation reverses what looks like a high-side outlier in the Northeast in May. Core PCE inflation is likely to remain more stubborn, in part because of ongoing upward pressure on imputed financial services prices from the equity market rally and price increases in software/accessories whose weight in core PCE is 30 times larger than in core CPI. More statistically based measures such as trimmed-mean PCE should continue to look more benign, however.

Exhibit 4: Trimmed-Mean PCE Still Looks More Benign Than Core PCE



Source: Haver Analytics, Goldman Sachs Global Investment Research

5. The first FOMC meeting under Chairman Warsh was more hawkish than expected. Half of the 18 participants that submitted interest rate projections penciled in one or more rate hikes in the remainder of 2026, and the median projection for core PCE inflation in 2027Q4 rose to 2.5%. While this has increased the upside risks, our baseline forecast remains for no hikes. First, we suspect that about half of the 2026 hikers are nonvoting Federal Reserve Bank presidents, which would leave a majority of voters projecting unchanged or lower rates under appropriate policy. Second, the projections might be stale given the rapid improvement in the news from the Middle East and the plunge in energy prices over the past week. If inflation comes down in coming months—rapidly for headline and gradually for core—and growth remains muted, we expect most voters to continue supporting unchanged rates.

Exhibit 5: While Hikes Have Become More Likely, We Think They Are Less Likely Than Markets Are Pricing

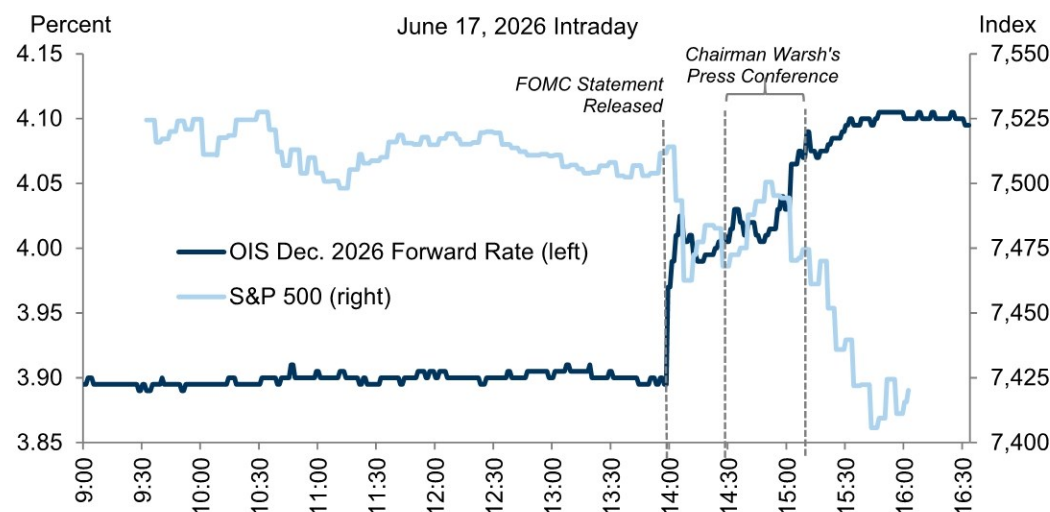
Source: Bloomberg, Goldman Sachs Global Investment Research

6. We had expected Warsh's refusal to provide either a "dot" or verbal guidance about upcoming rate decisions but his broader comments on Fed communications with financial markets went further:

"So I think financial markets perform best when they react to incoming data. I think the financial markets work less efficiently when they ask [the] question 'how will the Federal Reserve react to that incoming information?' The more that markets are paying attention to what's happening in the real economy, deciding what's good data and what's less good data, the more financial markets can price what they believe is the most likely and what are the tail risks."

Since the Fed essentially controls short-term interest rates and the interest rate path matters for asset pricing, it is inevitable that markets ask how the Fed will react to incoming information. Admittedly, this can turn into an unproductive obsession with computing the Fed's reaction function, which is often harder to summarize and subject to greater change than many market participants think. Still, a significant reduction in Fed transparency could make financial conditions—and thus economic outcomes—more volatile as market assumptions about the Fed's thinking become subject to fewer reality checks.

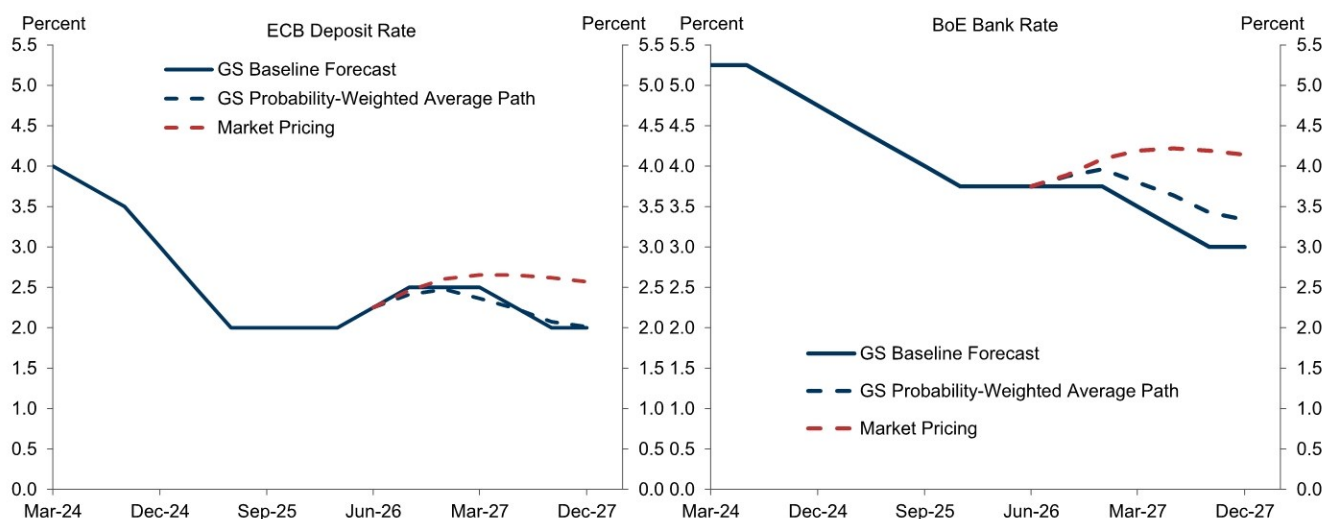
Exhibit 6: FOMC Meeting Illustrates the Importance of Fed Communications for Financial Conditions



Source: Bloomberg, Goldman Sachs Global Investment Research

7. The ECB hike to 2.25% was widely expected, but the drop in energy prices has shifted the balance of risks around our forecast of one more 25bp move in September to the downside. Either way, we continue to expect a return to a 2% deposit rate in 2027 and thus remain dovish relative to market pricing. In the UK, Sir Keir Starmer has stepped down as prime minister in favor of Andy Burnham, who inherits an economy with more potential than widely appreciated. On monetary policy, the improvement in wage and price inflation even prior to the recent oil price drop has strengthened our view that the MPC won't hike in coming months and will ultimately cut Bank Rate to 3% in 2027, well below market pricing.

Exhibit 7: Our ECB and BoE Rate Views Remain Below Market Pricing

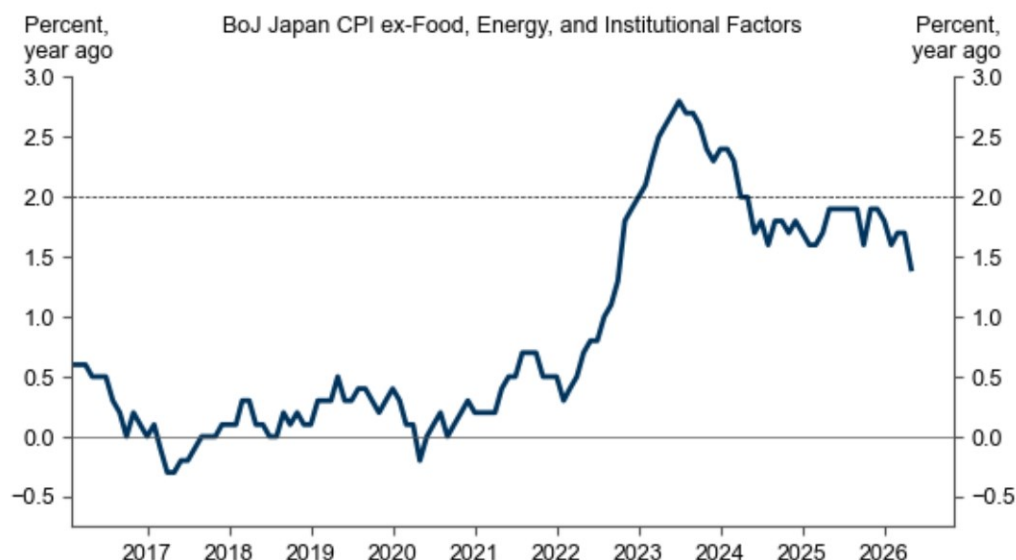


Source: Bloomberg, Goldman Sachs Global Investment Research

8. The Bank of Japan hiked by 25bp to 1%, the highest level in 30 years. We expect two more 25bp hikes every six months or so until the policy rate hits 1½% next summer. The BoJ can take its time because inflation—using its estimate of CPI excluding all food and

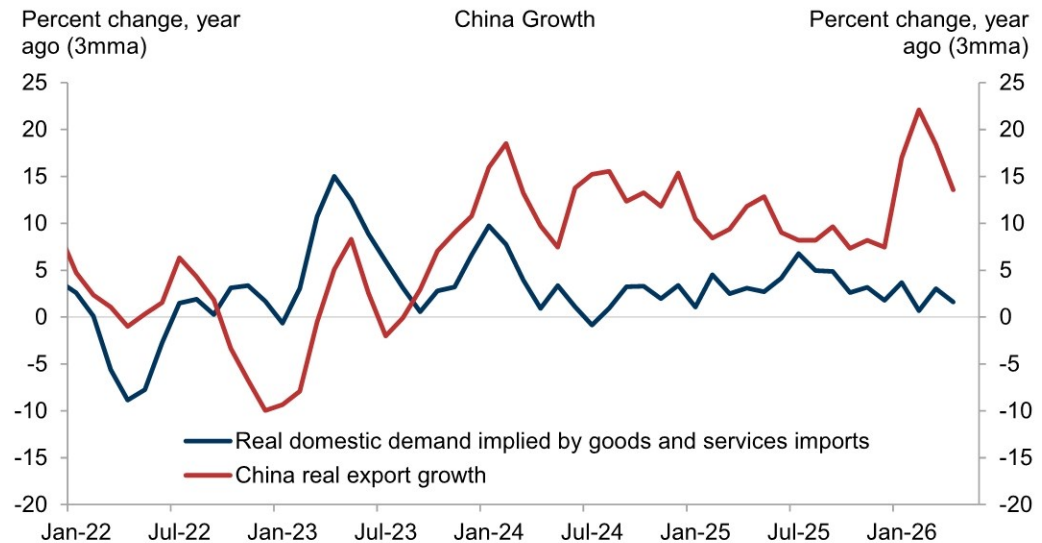
energy as well as institutional factors such as changes in school tuition rates—is running at only about 1½% year-on-year and GDP is likely to grow just 0.5% in 2026. The biggest challenge for the Japanese economy remains fiscal sustainability, as the decline in the debt/GDP ratio over the past decade could reverse if Prime Minister Takaichi implements her expansionary plans and long-term interest rates climb further toward the levels seen in other G10 economies.

Exhibit 8: Underlying Inflation in Japan Remains Benign



Source: BoJ, Haver Analytics, Goldman Sachs Global Investment Research

9. We attribute most of the downside growth surprises in China in April and May to a combination of the oil shock, payback for the consumer goods trade-in program, and the government's decision to slow fiscal spending after the strong Q1 GDP print. June is likely to remain sluggish because of heavy rainfall, but we expect a rebound in Q3 as the temporary drags abate, the oil shock reverses, and policymakers respond to the recent weakness with more fiscal spending. Underneath the short-term ups and downs, the gap between domestic demand and exports continues to grow, which drives up the current account surplus with negative effects on many of China's trading partners.

Exhibit 9: China's Domestic Demand Is Growing Far More Slowly Than Its Exports

Source: Haver Analytics, Goldman Sachs Global Investment Research

10. US financial markets have digested the hawkish FOMC shock well, with declines in breakeven inflation and 30-year Treasury yields alongside a rebound in broad equity indices. If the near-term economic outlook settles into calmer waters, the focus on the sustainability of the AI trade is likely to grow even further. The work of our equity and cross-asset strategists suggests that ongoing upside surprises in AI capex, strength in S&P earnings, and the relative absence of private sector financial imbalances should all help equity markets make further headway in coming months. However, valuations of AI-related stocks are now high even relative to our optimistic views regarding the economic value that is likely to be created by AI over the next decade, so it is getting harder to justify further large gains.

Jan Hatzius

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Reg AC

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